EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General

Large Cap (>$200B) · Report Date: October 26, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-26

BUY

Composite · Valuation: OVERWEIGHT

Target $1669.18 · +30.7% upside

Price $1276.93

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target $1669.18 (+30.7% vs $1276.93); Median 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	OVERWEIGHT	Blended PT $1669.18	45%
FSA	Stable	Health -0.20 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.80 · 12m +56%	15%
Composite	BUY	Score +0.59 · 75% confluence	—

Valuation + technical aligned bullish.

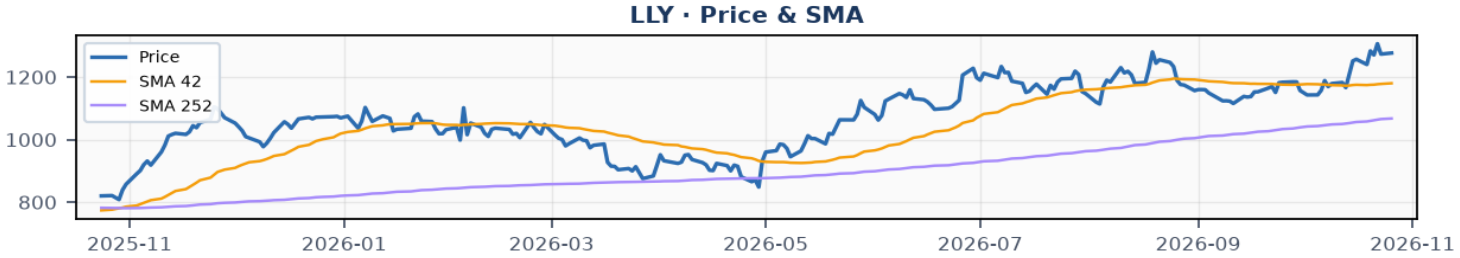
INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **OVERWEIGHT** rating; blended target $1669.18. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$1.14T	Shares Out.	891.7M
52-Week Range	$809.63 – $1321.21	P/E (TTM)	42.9x
P/B	33.6x	Beta	0.45
Avg Volume	2.50M	Analyst Rec.	Buy
Revenue (TTM)	$79.67B	Rev Growth	+47.7%
Op. Margin	54.2%	FCF (TTM)	$5.96B
Gross Margin	83.4%	ROE	1.0%
EV/EBITDA	28.3x	Debt/Equity	162.1%
EPS (TTM)	$29.79	Div Yield	54.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	45,043	65,179	96,269	129,136	160,965
Revenue Growth (%)	N/A	44.7%	47.7%	34.1%	24.6%
Net Income ($M)	10,590	20,640	30,485	40,893	50,972
Gross Margin (%)	81.3%	83.0%	83.4%	83.4%	83.4%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
EPS ($)	11.88	23.15	34.19	45.86	57.16
P/E (x)	107.53	55.17	37.35	27.85	22.34

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$1180.19	Short-term trend	12m Momentum	+55.7%	
SMA (252d)	$1067.61	Long-term trend	3m Momentum	+5.7%	
RSI (14d)	68.9	Momentum oscillator	Ann. Volatility	32.8%	
Trend	Bullish		Sharpe Ratio	1.10	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-34.5%	
Death Cross (20d)	No		Rel. Strength vs SPY	+358.3%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=$1180.19, SMA252=$1067.61	Quant Score	+0.80	POSITIVE
			SMA Backtest (ann.)	29.5%	B&H; 39.4%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$221.47	-82.7%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d…
Comps — Blended	$2004.65	+57.0%	—	Profile: Standard operating company
Analyst consensus	$1333.72	+4.4%	—	Included in blend
Blended target	$1669.18	+30.7%	100%	Median 100%; pre-cap $1870.46 -> $1669.18

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	1.50%	16.70%	$197.50B	$221.47	-82.7%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	$346.48B	113.3x	14.0x	4.8%	+5.1%
ABBV	AbbVie Inc.	$506.03B	80.9x	18.5x	9.8%	+10.2%
PFE	Pfizer, Inc.	$169.57B	39.1x	8.8x	6.8%	+2.6%
JNJ	Johnson & Johnson	$640.56B	40.4x	19.2x	16.2%	+5.9%
LLY*	Eli Lilly and Company	$1.14T	42.9x	28.3x	33.5%	+47.7%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (47.7% YoY); High operating leverage (54.2% margin); Defensive profile (β=0.45) · Risks: Elevated leverage (D/E: 162%); Premium valuation (P/E: 42.9x) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.